

Thames Water - Restructuring & Recapitalisation Analysis

September 2026 | L&VW proposal announced 16 March 2026 | Ayush Chakraborty

Executive summary

The London & Valley Water proposal announced on 16 March 2026 contemplated £3.35bn of new equity and up to £6.55bn of new debt, comprising £3.25bn of new day-one debt and up to £3.30bn of committed undrawn debt. It proposed a 30% write-off of Class A debt, full impairment of Class B debt and subordinated debt / existing equity, and 52% day-one net leverage.

Reported pre-restructuring position

Metric	30 Sep 2025
Statutory net debt	£17,626.9m
Covenant net debt	£19,337m
Covenant net debt net of TWSSI cash	£18,798m
Regulatory Capital Value	£21,893m
Senior gearing net of TWSSI cash	85.9%
Liquidity	£861.7m

Proposal terms

Term	Proposal
New equity	£3.35bn
New day-one debt	£3.25bn
Committed undrawn debt	Up to £3.30bn
Total potential new debt	Up to £6.55bn
Class A principal write-off	30%
Class B / subordinated / existing equity	Full write-off
Day-one net leverage	52%
End-AMP leverage	c.60%
Long-term net gearing target	≤65%

RCV / debt-capacity scenario

Using reported £21.893bn RCV, 5% annual RCV growth for four periods and a 60% FY30 gearing assumption produces an illustrative FY30 debt-capacity envelope of approximately £15.97bn. This is a debt-capacity scenario, not an integrated forecast of actual post-restructuring debt.

Period	Illustrative RCV	Target gearing	Debt capacity
FY27E	£22.988bn	54%	£12.413bn
FY28E	£24.137bn	56%	£13.517bn
FY29E	£25.344bn	58%	£14.699bn
FY30E	£26.611bn	60%	£15.967bn

Nominal versus economic recovery

A 30% Class A write-off means 70% of principal is nominally retained, but economic recovery also depends on coupon, maturity and required discount rate. In the model's illustrative £15bn claim / 6% coupon / 10-year maturity / 8% discount-rate case, economic value is £9.09bn, or 60.6% of the original claim.

Creditor-priority framing

Junior claims should not retain value while senior claims remain impaired, subject to the actual restructuring terms.

Sources

- Thames Water recapitalisation update, 16 March 2026:
<https://www.thameswater.co.uk/news/2026/mar/recapitalisation-update-press-speculation-on-london-valley-water-s-proposal>
- Thames Water 2025/26 half-year results: <https://www.thameswater.co.uk/news/2025/dec/thames-water-half-year-results-202526>

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